

Q 1. ECGC Limited (Formerly Export Credit Guarantee Corporation of India Ltd) is owned by _____ .

- ☐ LIC of India
- ☐ General Insurance Companies of India
- ☐ Government
- ☐ Export Promotion Councils
- ☐ All Public General Insurers

☒ UnAttempted

CORRECT ANSWER:

Government

Explanation:

ECGC is owned by the Government.

Q 2. Household goods policy is a _____ policy.

- ☐ Valued
- ☐ First loss
- ☐ Full value
- ☐ Floater
- ☐ Non of the above

☒ UnAttempted

CORRECT ANSWER:

Full value

Explanation:

Full value policies: where the policyholder states that the sum assured is the true and full value of the subject matter of insurance. This type of policy can be used for household goods.

Q 3. Mr. Chetan has taken a common health insurance policy for himself and his spouse. Which type of policy is this?

- ☐ Group Policy
- ☐ Joint Policy
- ☐ Family Floater Policy
- ☐ Any of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Family Floater Policy

Explanation:

A health insurance policy taken jointly by family members is known as a Family Floater Policy.

Q 4. Ms. Reeta would like to buy a car. Which is the insurance she should compulsorily take before bringing the car to the road?

- ☐ Motor Own Damage cover
- ☐ Personal Accident cover
- ☐ Burglary Insurance
- ☐ Third Party Motor Liability Insurance
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Third Party Motor Liability Insurance

Explanation:

A Person wishing to buy a car should take Third Party Motor Liability Insurance before bringing the car to the road.

Q 5. Probable Maximum Loss or PML is determined using the Maximum Possible Loss (MPL) and which other factor ?

- ☐ The cost of implementing loss reduction techniques
- ☐ The cost of consequential losses
- ☐ The probability of the peril striking
- ☐ The cost of the actual loss
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

The probability of the peril striking

Explanation:

The PML is determined by multiplying the MPL and the probability of peril striking.

Q 6. In the case of individual agents, for how many years is the license issued by IRDA valid ?

- ☐ 2
- ☐ 3
- ☐ 5
- ☐ 10
- ☐ Life time

☒ UnAttempted

CORRECT ANSWER:

3

Explanation:

For individual agents, the license issued by IRDA is valid for 3 years.

Q 7. A policyholder transfers their rights under a policy to another person. This process is called _____ .

- ☐ Assignment
- ☐ Nomination
- ☐ Surrender
- ☐ Deferment
- ☐ Subrogation

☒ UnAttempted

CORRECT ANSWER:

Assignment

Explanation:

The process of transferring your rights to a policy to another person is called assignment.

Q 8. Insurance manages risk in which of the following ways ?

- ☐ Transfer
- ☐ Retention
- ☐ Reduction
- ☐ Avoidance
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Transfer

Explanation:

Insurance is the process of transfer of risk.

Q 9. The consideration which the proposer pays to the insurance company for bearing the risk on his behalf is known as _____ .

- ☐ Policy fees
- ☐ Premium
- ☐ Bonus
- ☐ Installment
- ☐ Enrollment fee

☒ UnAttempted

CORRECT ANSWER:

Premium

Q 10. Burglary insurance is a _____ policy.

- ☐ Full value
- ☐ First loss
- ☐ Floater
- ☐ Valued
- ☐ Non of the above

☒ UnAttempted

CORRECT ANSWER:

First loss

Explanation:

First loss policies: these policies fix the sum assured as less than the full value as it is unlikely that the loss would be total. This can be used in burglary insurance.

Q 11. In a town, there are 5000 houses, each valued at Rs. 50,000. It is expected that on an average, 30 houses may catch fire in a year. What will be the premium calculated in the above scenario ?

- ☐ Rs 300
- ☐ Rs 500
- ☐ Rs 750
- ☐ Rs 860
- ☐ Rs 950

☒ UnAttempted

CORRECT ANSWER:

Rs 300

Explanation:

Loss suffered by each house in a fire = Rs 50000

Total no. of house catching fire = 30

So total loss suffered : $50000 \times 30 = \text{Rs } 15,00,000$

Rs 15,00,000 divided by the total no. of houses ie. 5000

So premium charged to each house = $1500000 / 5000 = \text{Rs } 300$

Q 12. Which of the following does not fall under the preview of IRDA ?

- ☐ Adequacy of premium rates
- ☐ IT infrastructure of the insurer
- ☐ Guidelines on investments done by insurer
- ☐ Solvency limits of the insurer
- ☐ Issuing licences to insurers

☒ UnAttempted

CORRECT ANSWER:

IT infrastructure of the insurer

Q 13. As per the provisions of _____, the Marine insurance act codifies the law relating to marine insurance.

- ☐ GIC Marine Act
- ☐ The Bill of Lading Act
- ☐ Marine Hull Insurance Act
- ☐ US marine insurance act
- ☐ UK marine insurance act

☒ UnAttempted

CORRECT ANSWER:

UK marine insurance act

Explanation:

The marine insurance act 1963 codifies the laws relating to marine insurance, with a few exceptions this act closely follows the UK marine insurance act 1906.

Q 14. Micro Insurance is meant for _____.

- ☐ small families
- ☐ people who work in small companies
- ☐ people with low income
- ☐ NRIs living abroad
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

people with low income

Explanation:

IRDA has created a special category of insurance policies called micro-insurance policies to promote insurance coverage among economically vulnerable sections of society.

Q 15. When the insured goods are abandoned due to unavoidable circumstances, the losses are termed as _____.

- ☐ Actual total loss
- ☐ Salvage loss
- ☐ Total average loss
- ☐ Constructive total loss
- ☐ Partial average loss

☒ UnAttempted

CORRECT ANSWER:

Constructive total loss

Explanation:

Constructive total loss occurs when the actual loss appears inevitable or the prevention of the actual loss would require expenditure that would exceed the saved value of goods. Constructive loss is common in marine insurance, including air cargo. It may also occur in fire and motor policies where the cost of repair exceeds the value of the subject matter.

Q 16. The principle of _____ is breached when material facts are withheld by the proposer and the two parties (proposer and insurer) are not of the same mind.

- ☐ Subrogation
- ☐ Insurable Interest
- ☐ Utmost Good Faith
- ☐ Indemnity
- ☐ Contribution

☒ UnAttempted

CORRECT ANSWER:

Utmost Good Faith

Explanation:

There are two ways in which the principle of Utmost Good Faith is breached.

Non Disclosure: Not disclosing material facts

Misrepresentation: Giving wrong information.

Q 17. Which act provides for the transfer of property , who may transfer , what may be transferred, rights and liabilities of the buyers and sellers etc ?

- ☐ The Transfer of Property Act
- ☐ The Indian Registration Act
- ☐ The Indian Stamp Act
- ☐ The Indian partnership Act
- ☐ The Negotiable Instruments Act

☒ UnAttempted

CORRECT ANSWER:

The Transfer of Property Act

Explanation:

An insurance policy is a property and forms part of estate.

Q 18. Which of the following is TRUE ?

- ☐ A human life is an income generating asset.
- ☐ This asset can be made non-functional through illnesses or disabilities caused by accidents
- ☐ This asset can be lost through unexpected, early death.
- ☐ This asset is functional as long as the person lives
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

In life insurance, the asset in question is the 'economic value' of the person. A person's earning capacity depends on his skills, knowledge, ability and other factors. The family, employer and indirectly the users of products created by this asset (human beings) enjoy value and benefits. A human life is an income generating asset. But this asset can be lost through unexpected, early death or made non-functional through illnesses or disabilities caused by accidents.

Q 19. What is excess of loss ?

- ☐ An arrangement where a number of insurers agree to pool premiums and claims are met out of the pool
- ☐ An arrangement where the reinsurer has the option to decide the terms of acceptance
- ☐ An arrangement where the reinsurer steps in only when there is a loss in excess of specified limit
- ☐ An arrangement which becomes operational when net claims ratio of the direct insurer in a financial year exceeds a specified limit
- ☐ An arrangement where the reinsurer insures himself with another insurer or reinsurer

☒ UnAttempted

CORRECT ANSWER:

An arrangement where the reinsurer steps in only when there is a loss in excess of specified limit

Explanation:

As per definition of Excess of Loss - An arrangement wherein the reinsurer steps in only if there is a loss that exceeds the specified limit.

Insurance companies may have several excess of loss treaties with second and third reinsurers set at different limits that come into effect when the loss is in excess of the limit for the primary insurer and the first reinsurer. These are called "first", "second" etc. excess of loss.

Q 20. Why is the Sale of Goods act relevant to insurance ?

- ☐ Insurance is a contract and the act also lays down conditions for a valid contract
- ☐ The law provide transfer of property, who may transfer, what may not be transferred, rights and liabilities of seller & buyers etc.
- ☐ The law provides for protection of ship owners against claims for damage & loss of goods & passengers
- ☐ It can be relied upon if there are disputes about ownership consequent on agreement to sell
- ☐ The registration of documents and deeds, some of which are compulsory

☒ UnAttempted

CORRECT ANSWER:

The law provide transfer of property, who may transfer, what may not be transferred, rights and liabilities of seller & buyers etc.

Q 21. Who checks the advertisements of insurance companies to ensure that they do not misguide the customers ?

- ☐ RBI
- ☐ Finance Ministry
- ☐ Insurance Council
- ☐ Insurance Regulatory and Development Authority (IRDA)
- ☐ Insurance Institute of India (3i)

☒ UnAttempted

CORRECT ANSWER:

Insurance Council

Q 22. The Insurance Advisory Committee consists of members from _____. .

- ☐ The central and state government
- ☐ Field of commerce, transport, consumer forums, agents and other intermediaries
- ☐ The general public
- ☐ The life / general insurance companies
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Field of commerce, transport, consumer forums, agents and other intermediaries

Explanation:

Members of Insurance Advisory Committee are from diverse walks of life.

Q 23. _____ drafts the Institute of cargo clauses .

- ☐ Newyork underwriters
- ☐ London underwriters
- ☐ Tokyo underwriters
- ☐ Marine underwriters
- ☐ India underwriters

☒ UnAttempted

CORRECT ANSWER:

London underwriters

Explanation:

Export / import shipments are covered under the terms of Institute Cargo Clauses of Institutes of London Underwriters, according to international practice.

Local clauses are used for inland transit policies.

Q 24. Which is the process by which disputes under insurance policies can be resolved without going to a court of law ?

- ☐ Counseling
- ☐ Mediation
- ☐ Adjudication
- ☐ Arbitration
- ☐ Negotiation

☒ UnAttempted

CORRECT ANSWER:

Mediation

Explanation:

The disputes of insurance can be solved through Insurance Ombudsman. The Ombudsman acts as a mediator in matters within its terms of reference. It is not a judicial authority. It has no right to summon witnesses. It has to make its decision on the basis of documents submitted to it.

The complainant and the insurer are allowed to make personal submissions. But lawyers are not permitted to argue the case.

Q 25. The Insurance Advisory Committee can have a maximum of ____ members.

- ☐ 20
- ☐ 22
- ☐ 25
- ☐ 30
- ☐ 32

☒ UnAttempted

CORRECT ANSWER:

25

Q 26. Which word closely matches the foll – It is valuable to the owner, it has a life time. It provides benefits to the owner. The benefit may be in the form of income or service.

- ☐ Agricultural Land
- ☐ Money
- ☐ Office
- ☐ Car
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Explanation:

All the above provide benefits in form of income or service.

Q 27. In an Unit Linked Insurance Plan, the policy holder chooses the fund of his choice, _____ .

- ☐ the policy holder is totally responsible for its growth
- ☐ the insurance company is totally responsible for its growth
- ☐ both the policy holder and insurance company are responsible for its growth
- ☐ both the policy holder and insurance company are not responsible for its growth
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

the policy holder is totally responsible for its growth

Explanation:

In a ULIP (Unit Linked Insurance Plan), the policyholder chooses the fund in which the money is to be invested. So the risk of investment is borne by the policyholder and not the insurance company.

Q 28. Which of these losses cannot be insured ?

- ☐ Losses due to fire
- ☐ Losses due to terrorist attack
- ☐ Losses due to floods
- ☐ Losses due to stock market crash
- ☐ Losses due to cyclone

☒ UnAttempted

CORRECT ANSWER:

Losses due to stock market crash

Explanation:

Speculative risks are under the control of the person concerned.

Examples of speculative risks can be horse racing, lottery, gambling or speculating in stock markets. In speculative risks there is a chance of loss as well as gain.

Pure risks are not under the control of the concerned person. In pure risks, there is a chance of loss but no chance of gain.

Insurance covers only pure risks and not speculative risks.

- Q 29. Insurance only tries to _____ .
- ☐ Minimize the risk that the asset is exposed to
 - ☐ Reduce the impact of the risk on the owner of the asset and those who depend on that asset
 - ☐ Minimize the emotional trauma by replacing or repairing the asset
 - ☐ Prevent the loss that the asset is exposed to
 - ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Reduce the impact of the risk on the owner of the asset and those who depend on that asset

Explanation:

Insurance does not protect the asset. It does not prevent its loss due to the peril, and the peril cannot be avoided through insurance. Insurance only tries to reduce the impact of the financial loss on the owner / beneficiary of the asset.

- Q 30. _____ is the process used to determine entry to the group and it includes assessing the risk to determine the exposure of the group and to determine the premium charged.

- ☐ Scrutinising
- ☐ Financing
- ☐ Sanctioning
- ☐ Checking
- ☐ Underwriting

☒ UnAttempted

CORRECT ANSWER:

Underwriting

Explanation:

Underwriting is the process used to determine entry into the group. Underwriting includes assessing the risk to determine the exposure of the group and determining the premium to be charged based on the risk.

- Q 31. As per 2016 rules, what is the limit of partnership for a foreign company in Indian insurance companies ?

- ☐ 26%
- ☐ 13%
- ☐ 49%
- ☐ 51%
- ☐ 65%

☒ UnAttempted

CORRECT ANSWER:

49%

- Q 32. The premium is the _____ which is to be paid to the insurance company for bearing the risk.

- ☐ expense
- ☐ fee
- ☐ compensation
- ☐ value
- ☐ consideration

☒ UnAttempted

CORRECT ANSWER:

consideration

Explanation:

The insured pays a certain amount (consideration) to the insurance company for bearing the risk, which is known as premium.

- Q 33. Who regulates the remuneration paid to agents, brokers & other intermediaries ?

- ☐ Central Govt - Ministry of Finance
- ☐ RBI
- ☐ IRDA
- ☐ SEBI
- ☐ Insurance Ombudsman

☒ UnAttempted

CORRECT ANSWER:

IRDA

Explanation:

IRDA regulates and promotes orderly growth of the insurance sector as regulator and licensing authority.

- Q 34. In whole life insurance policy, the benefit under the plan is paid only on _____ .

- ☐ Death
- ☐ Illness
- ☐ Survival
- ☐ After minimum 20 years
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Death

Explanation:

As per definition - As a whole life insurance policy it represents a contract between the insured and insurer that as long as the contract terms are met, the insurer will pay the death benefit of the policy to the policy's beneficiaries when the insured dies.

Q 35. With reference to health insurance, which of these options is FALSE ?

- ☐ Health insurance plan include treatment of diseases prevalent at the time of taking out the policy for the first time
- ☐ Health insurance is offered as a group policies to employees covering large number of employees
- ☐ Health insurance takes care of expenses incurred during hospitalization
- ☐ Health insurance arrangements are so made that policy holder does not have to pay the bills of hospitals
- ☐ Discounts are given in premiums at renewals for low claim ratio

☒ UnAttempted

CORRECT ANSWER:

Health insurance plan include treatment of diseases prevalent at the time of taking out the policy for the first time

Explanation:

Health policies exclude treatment for diseases prevalent at the time of taking the policy for the first time or contracted within 30 days of such commencement.

Q 36. Dhawal wants to become an insurance broker. He attended the required training for this . However he missed out on a few days of training as he was not well. Now he is well. What is the next step for Dhawal ?

- ☐ Dhawal can start meeting clients and suggest them suitable plans
- ☐ Dhawal cannot solicit insurance business as he has not completed his training
- ☐ Dhawal has to obtain license after passing the prescribed exam
- ☐ Only option 2 and 3
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

Only option 2 and 3

Explanation:

Training and exams are prerequisites for becoming an Insurance Agent.

Q 37. An insurance company (referred to usually as the insurer) promises to pay to the owner (insured) or beneficiary of the asset, a certain sum of money (sum assured), if a loss occurs, _____ . (complete the sentence).

- ☐ so that he may get a substitute and try to ensure continuance of the benefits
- ☐ so that he can invest the amount received and get interest to ensure continuance of benefits
- ☐ so that he can employ the money to make good the losses
- ☐ All of the above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

so that he may get a substitute and try to ensure continuance of the benefits

Q 38. Where has 'insurable interest' been defined ?

- ☐ The Insurance Act, 1938
- ☐ IRDAI Act
- ☐ Trust Act
- ☐ Contract Act
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

The Insurance Act, 1938 does not define insurable interest. Court judgements have established the circumstances in which insurable interest is deemed to exist.

Q 39. When the person exposed to the risk determines that they are able to bear the loss associated with the risk, this is called as Risk _____ .

- ☐ Reduction
- ☐ Avoidance
- ☐ Retention
- ☐ Transfer
- ☐ Prevention

☒ UnAttempted

CORRECT ANSWER:

Retention

Explanation:

Retention: if risk is retained the person exposed to the risk determines that they are able to bear the loss associated with the risk. They do not pass the risk on to an insurer.

Q 40. Among the given options, where does the Indian Trust Act play an important role ?

- ☐ Cases under married women's property act and also if the claimants are in the nature of trustees
- ☐ Cases where there is a need of clarification of rights and liabilities of railways as carrier of goods
- ☐ Cases where there are disputes about ownership consequent on agreement to sell
- ☐ Cases where partners are involved in the insurance contract as policy holders subjects of insurance of claimants
- ☐ Cases where title and liability while settling claims on marine cargo is to be determined

☒ UnAttempted

CORRECT ANSWER:

Cases under married women's property act and also if the claimants are in the nature of trustees

Explanation:

As per the Married Women's Property Act, it shall ensure and be deemed to be a trust for the benefit of the wife / children.

Q 41. Why is life insurance a NON PERSONAL contract ?

- ☐ Life insurance is not for self but for the benefit of others
- ☐ In life insurance the risk is huge
- ☐ In life insurance the policy holder can assign the policy without insurers consent
- ☐ All of above
- ☐ None of the above

☒ UnAttempted

CORRECT ANSWER:

None of the above

Explanation:

In insurance, the relevant facts relating to subject matter of insurance are known to one party to the contract ie. the proposer and cannot be known to the other party ie. the insurance company, unless disclosed by the proposer.

Company as representative enters in contract not as an individual.

Q 42. Which of these laws are different in different states of India ?

- ☐ Inheritance laws
- ☐ Registration laws
- ☐ Mercantile laws
- ☐ Stamp duty laws
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Stamp duty laws

Explanation:

The stamp duty rate varies from one kind of transaction and on the location of the transaction. Every state in India follows a separate stamp duty rate structure.

Q 43. Which of the following events are covered under a crop insurance scheme ?

- ☐ Scanty or no rains
- ☐ Flooding
- ☐ Crop disease
- ☐ Only 1 and 2
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

All of the above

Q 44. _____ is an individual, a company, a society or a firm, wholly engaged in sourcing insurance business for various insurance companies and are not appointed by an Insurance company.

- ☐ Agents
- ☐ Insurance Employees
- ☐ Surveyors
- ☐ TPAs
- ☐ Brokers

☒ UnAttempted

CORRECT ANSWER:

Brokers

Explanation:

Insurance broker is an individual, a company, a society or a firm, wholly engaged in sourcing insurance business for various insurance companies.

A broker is not appointed by any insurance company. They are independent professionals and have to obtain a licence from the IRDA after going through a prescribed training course and passing a prescribed examination.

Q 45. In an assignment, the policyholder who transfers the rights and liabilities is known as the _____ .

- ☐ transferor
- ☐ beneficiary
- ☐ assignor
- ☐ assignee
- ☐ nominee

☒ UnAttempted

CORRECT ANSWER:

assignor

Explanation:

An assignment is the transfer of rights and liabilities of the policyholder to someone else. The policyholder who transfers the rights and liabilities is known as the assignor, and the person to whom they were assigned is known as the assignee.

Q 46. When should one take the steps to reduce the risks ?

- ☐ Before the peril strikes
- ☐ While the peril strikes
- ☐ After the peril strikes
- ☐ Only option 1 and 2
- ☐ Only option 2 and 3

☒ UnAttempted

CORRECT ANSWER:

Before the peril strikes

Explanation:

Insurance cannot prevent damage but it can reduce the impact of damage.

Q 47. What is the person known as who applies for an insurance policy ?

- ☐ Life Insured
- ☐ Proposer
- ☐ Nominee
- ☐ Policy holder
- ☐ All of the above

☒ UnAttempted

CORRECT ANSWER:

Proposer

Explanation:

Proposer : The person who proposes to enter into a contract of insurance with a life insurance company to insure himself or another life on whose life he has insurable interest.

Q 48. Who issues licenses to the insurance third party administrators (TPAs) ?

- ☐ Respective Insurance companies
- ☐ IRDA
- ☐ Insurance council
- ☐ Insurance association
- ☐ Insurance advisory

☒ UnAttempted

CORRECT ANSWER:

IRDA

Explanation:

To get a TPA licence from IRDA, the applicant company:

- a) should have a share capital of at least Rs. 1 crore
- b) at least one of the directors must be a qualified medical practitioner
- c) one of its officers has to undergo prescribed training and pass a prescribed examination

Q 49. In which of the below cases has the insurer breached the principle of utmost good faith ?

- ☐ Promises are made about returns or bonuses in future
- ☐ Premium is collected without looking at the applicability of rebates allowed by the insurer
- ☐ The proposer is advised not to mention the fact that he was on leave for two weeks
- ☐ The proposer is not informed that the use of sprinkler system may affect premium
- ☐ All of above

☒ UnAttempted

CORRECT ANSWER:

All of above

Explanation:

There are two ways in which the principle of Utmost Good Faith is breached.

Non Disclosure: Not disclosing material facts

Misrepresentation: Giving wrong information

All the above cases breaches the principle of Utmost Good Faith.

Q 50. Non Life Insurance business in India is classified into which of these major categories - A) Fire , B) Health , C) Marine , D) Automobiles , E) Miscellaneous.

- ☐ A,B,C,D,E
- ☐ A,C,E
- ☐ B,C,D
- ☐ A,C,D,E
- ☐ C,D,E

☒ UnAttempted

CORRECT ANSWER:

A,C,E

Explanation:

As per the Insurance Act 1938, non-life products are bifurcated into three major categories - Fire, Marine and Miscellaneous. All the insurances which do not fit into fire or marine category fall into the miscellaneous category.